

ADDENDUM TO FAR 52.212-2, EVALUATION-COMMERCIAL PRODUCTS AND COMMERCIAL SERVICES

This document contains the Addendum to FAR 52.212-2, Evaluation—Commercial Products and Commercial Services.

The Defense Health Agency intends to award a single Indefinite Delivery/Indefinite Quantity (IDIQ) contract for Reference Laboratory Services. The period of performance consists of a five-year base ordering period and a five-year option that may be earned by the contractor based on performance, in accordance with DFARS 217.204(e)(i).

The Government is utilizing the new **Federal Acquisition Regulation (FAR) Overhaul** for this acquisition, which can be found at: <https://www.acquisition.gov/far-overhaul/far-part-deviation-guide>.

A. GENERAL SOURCE SELECTION PROCEDURES:

- 1. Initial Evaluation:** All proposals will be evaluated in accordance with FAR 15.202(a)(1).
- 2. Negotiations:** The Government intends to award a contract without negotiations. Should the need for negotiations arise, the Contracting Officer will determine a competitive range (Refer to FAR 52.215-1 – Instructions to Offerors-Competitive Acquisition).
- 3. Competitive Range Establishment:** The Government intends to evaluate proposals and award a contract with or without conducting negotiations. If the Contracting Officer determines the need to conduct negotiations, the Contracting Officer will establish a competitive range comprised of the most highly rated proposals.
- 4. Narrowing the Competitive Range for Efficiency:** Pursuant to FAR 15.204-1(b), the contracting officer may limit the number of proposals in the competitive range to the greatest number that will permit an efficient competition among the most highly evaluated proposals.
- 5. Final Proposal Revisions (FPRs):** After negotiations are conducted, each offeror remaining in the competitive range will be given the opportunity to submit a Final Proposal Revision.
- 6. Proposal Organization and Evaluation.** Each proposal Volume corresponding to an evaluation factor or sub-factor must be written as a complete and stand-alone response. The Government's evaluation of any given factor will be confined strictly to the information presented in that factor's designated section. Information provided in one section will not be considered in the evaluation of another. It is the offeror's responsibility to ensure all required information is included in the correct section of its proposal.

B. BASIS OF AWARD

A single award will be made to the responsible offeror whose proposal, conforming to the solicitation, is judged to provide the best value to the United States Government based on an overall assessment of the specified evaluation criteria. This determination will be made using a best-value tradeoff process, considering the evaluation factors described below. The Government may determine that a higher-rated, higher-priced proposal offers the best value if the Contracting Officer determines that the merits of its non-price factor (Past and Present Performance) warrant the additional cost. Conversely, the Government may award to a lower-rated, lower-priced offeror if the price advantage outweighs the benefits associated with a higher-rated proposal. To be considered for award, a proposal must meet the following minimum requirements:

- 1. Proposal Compliance:** To be compliant and eligible for further evaluation, a proposal must comply with all requirements set forth in the Addendum to FAR 52.212-1 and the General Instructions, Formatting and Page Limitations, and Required Structure and Content for five separate volumes: Volume I – Business Proposal, Volume II – Technical Proposal, Volume III – Performance Risk, Volume IV – Small Business Subcontracting Proposal, and Volume V – Price. Proposals that fail to meet these initial requirements may be determined not to be compliant and rejected without further consideration.

2. Receive a rating of "Acceptable" for the Technical Factor (Factor 1), which requires an "Acceptable" rating in all technical sub-factors.
3. Receive a rating of "Satisfactory Confidence" or higher for the Performance Risk Factor (Factor 2). A rating of "Neutral Confidence" will be considered for award and will not be evaluated favorably or unfavorably.
4. Receive a rating of "Acceptable" for the Small Business Subcontracting Participation Factor (Factor 3).
5. Be determined to have a fair, reasonable, and balanced price under the Price Factor (Factor 4).
6. Be determined to be a responsible contractor: The contractor shall demonstrate responsibility in accordance with FAR 9.104-1 and 3: To be considered for award, the Contracting Officer must find the offeror to be a responsible contractor. The Contracting Officer will base this determination primarily on the representations and certifications in SAM.gov, supplemented by other readily available government information. In accordance with FAR 9.104-5, the Contracting Officer reserves the right to request additional information to complete the responsibility determination. The prospective prime contractors are responsible for determining the responsibility of their prospective subcontractors as required by FAR 9.104-4 - Subcontractor responsibility. The Government's determination that a proposed subcontractor is non-responsible may result in a corresponding determination of non-responsibility for the offeror. A finding of non-responsibility for the offeror will result if a proposed major subcontractor (as defined in the Addendum to 52.212-1, Vol III) is determined to be non-responsible, or if a proposed subcontractor performing a critical PWS function is determined to be non-responsible.

C. FACTORS AND RELATIVE IMPORTANCE

1. The Government will evaluate proposals based on the following four factors, which are listed in descending order of importance.
 - a. Factor 1: Technical
 - (1) Sub-factor 1A: Transition Approach and Laboratory Information System (LIS) Interface
 - (2) Sub-factor 1B: Technical Requirements
 - (3) Sub-factor 1C: Quality Control/Assurance Approach
 - (4) Sub-factor 1D: Supply Chain Management Plan
 - b. Factor 2: Performance Risk (Past and Present Performance)
 - c. Factor 3: Small Business Subcontracting Participation
 - d. Factor 4: Price
2. All non-price factors (Technical, Performance Risk and Small Business Subcontracting Participation), when combined are significantly more important than the Price factor. Within the Technical Factor, all sub-factors (1A, 1B, 1C, and 1D) are of equal importance.

D. VOLUME I - BUSINESS PROPOSAL

This volume will be evaluated on a pass/fail basis. A rating of 'pass' will be assigned if all required information is included and complete. A rating of 'fail' will be assigned if any required information is missing. A proposal that receives a 'fail' rating for this volume may not be considered for award.

1. Cover Letter
2. Table of Contents
3. Administrative Contact Data
4. Solicitation Forms and Amendments

5. Representations and Certifications
6. Glossary of Abbreviations and Acronyms (if required)

E. VOLUME II – FACTOR 1: TECHNICAL PROPOSAL

1. Technical (Factor 1). The technical evaluation will assess the offeror's comprehensive capability to perform the work, covering the technical approach, transition and systems integration, and quality assurance.

a. Compliance Check: The Government will first conduct a compliance review of Volume I to ensure strict adherence to the core content, structure and formatting, and page limitation requirements outlined in the Addendum to FAR 52.212-1, paragraphs F.1 through F.4. Any offeror who fails to follow the requirements specified in the Addendum to FAR 52.212-1 may have their proposal removed from further consideration and may be found ineligible for award.

b. Evaluation Process and Criteria: The Government will evaluate your proposal as follows:

(1). Technical Evaluation: The Government will evaluate your approach and understanding of the PWS requirements. The proposal will be assigned a single adjectival rating ("Acceptable" or "Unacceptable") based on an integrated assessment of four equally important sub-factors. The Government's evaluation will include an assessment of the offeror's proposed staffing formula required by PWS 1.5.4, which will be evaluated for its logic, scalability, and demonstrated ability to meet the performance standards in the PRS. The formula should be based on objective metrics (e.g., specimen volume, required tasks, processing time).

(2). Achieving "Acceptable": To be rated "Acceptable," your proposal must demonstrate a thorough understanding of the Performance Work Statement (PWS) with a detailed approach to meeting all requirements.

(3). Basis for "Unacceptable": A rating of "Unacceptable" in any single sub-factor will result in an overall rating of "Unacceptable" for the entire Technical Factor.

2. Evaluation Ratings: The Government will evaluate proposals using the following ratings:

Adjectival Rating	Definition
Acceptable	The proposal meets the requirements of the solicitation.
Unacceptable	The proposal does not meet the requirements of the solicitation.

3. Sub-factor 1A Cybersecurity, Transition and Laboratory Information Systems (LIS) and Interface Approach. To receive an "Acceptable" rating, the proposal must provide documentation of their cybersecurity compliance status and then describe an implementable approach to both contract transition and LIS deployment.

Requirement	Evaluation Criteria
Cybersecurity Compliance	To be Acceptable: The proposal includes documentation of the offerors' cybersecurity compliance status in one of the following formats: 1. Evidence of Current Compliance: CMMC Final Level 2 (Self) (i.e., not greater than three years) in the SPRS system for an existing covered contractor system they intend to use in performance of this contract, OR 2. A Narrative for Future Compliance: Narrative which explains how the offeror shall achieve CMMC Final Level 2 (Self) at time of award. Unacceptable: The proposal does not include this documentation of cybersecurity compliance status.
Transition Plan	To be Acceptable: The proposal describes a clear and logical approach to the requirements of PWS paragraph 1.6.1, including a timeline of required tasks to ensure a timely, effective, and complete contract transition. Unacceptable: The proposal fails to describe a clear and logical transition approach and timeline.

LIS Deployment	To be Acceptable: The proposal describes a clear methodology to ensure the successful deployment of its Laboratory Information System and its interface with the Government network, in accordance with PWS paragraph 5.3.7. Unacceptable: The proposal fails to describe a clear deployment methodology.
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4. Sub-factor 1B Technical Requirements. To receive an “Acceptable” rating, the proposal must contain all of the following fully completed documentation.

Requirement	Evaluation Criteria
Exhibit A, Schedule of Required Tests	To be Acceptable: The proposal includes a fully completed Exhibit A, Schedule of Required Tests. Unacceptable: The proposal fails to include a fully completed Exhibit A, Schedule of Required Tests.
Standardized Ordering System	To be Acceptable: The proposal provides documentation that the laboratory system uses a single, standardized ordering system for each analyte, including a single test number, the same testing methodology, and an established normal range in accordance with PWS paragraph 5.3.2. Unacceptable: The proposal fails to provide this evidence.
Laboratory Licensing	To be Acceptable: The proposal provides documentation certifying that all proposed prime laboratories are licensed to perform testing on human specimens in accordance with the Clinical Laboratory Improvement Amendments (CLIA) of 1988, the College of American Pathologists (CAP), and where applicable, New York State Department of Health license. All subcontractor laboratories utilized by the prime vendor must be CLIA certified and have an accreditation with a Health and Human Services (HHS) approved laboratory accreditation agency, in accordance with PWS paragraphs 1.10.1.1. and 5.2.1 Unacceptable: The proposal fails to provide the required documentation.
Online Test Menu Catalog	To be Acceptable: The proposal provides documentation/evidence of the vendor’s online test menu catalog in accordance with PWS paragraph 5.3.6. Unacceptable: The proposal fails to provide the required documentation/evidence.

5. Sub-factor 1C Quality Control/Assurance Approach: To receive an "Acceptable" rating, the proposal must describe a comprehensive quality control program and procedures for monitoring performance in relation to the Performance Requirements Summary (PRS).

Requirement	Evaluation Criteria
Problem & Trend Management	Acceptable: The proposal describes the methodology for identifying, tracking, resolving, and preventing quality assurance problems and adverse trends. Unacceptable: The proposal fails to describe this methodology.
Documentation & Reporting	Acceptable: The proposal explains the methodology for ensuring proper documentation, maintenance of records, and reporting of all quality-related issues and corrective actions. Unacceptable: The proposal fails to explain this methodology.
Performance Monitoring	Acceptable: The proposal explains how the quality control plan will monitor overall contract performance, ensuring deficiencies are identified and corrected before the level of service becomes unsatisfactory. Unacceptable: The proposal fails to explain this methodology.

6. Sub-factor 1D Supply Chain Management Plan: This sub-factor evaluates the offeror's approach to ensuring their critical subcontractors comply with all mandatory security requirements of the contract. The Government will perform a qualitative assessment of the offeror's plan to determine if it provides a high level of confidence in their ability to manage supply chain risk. Based on this qualitative assessment, the proposal will be rated as either "Acceptable" or "Unacceptable." To receive an "Acceptable" rating, the offeror's plan must demonstrate a thorough, proactive, and integrated approach to supply chain security. The plan must provide convincing detail and address the following elements:

Elements	Evaluation Criteria
(1) Cybersecurity Compliance	Acceptable: The proposal describes a robust methodology that includes specific internal controls for actively verifying and maintaining subcontractor CMMC Level 2 status in SPRS. The plan also details the tangible support the offeror will provide to monitor and ensure subcontractor progress and compliance.
	Unacceptable: The proposal fails to describe this methodology or simply restates DFARS 252.204-7021.
(2) FOCI Mitigation	Acceptable: The proposal provides a clear and detailed process for vetting subcontractors against Foreign Ownership, Control, or Influence risks that cover the full lifecycle, from initial screening to final determination. The plan specifies the information-gathering techniques used to screen key risk areas, including ownership, personnel, and data security practices.
	Unacceptable: The proposal fails to provide this process.
(3) Risk Management	Acceptable: The proposal provides a convincing approach that includes specific oversight mechanisms for monitoring, auditing, and enforcing compliance throughout the subcontract's period of performance. The plan must also detail a framework of escalating remedies to address subcontractor non-compliance.
	Unacceptable: The proposal fails to provide this approach.

A proposal will be "Unacceptable" if its Supply Chain Management Plan is superficial, lacks convincing detail, merely restates the solicitation requirements without explaining the offeror's specific methodology, or fails to adequately address each of the three (3) elements above.

F. VOLUME III - FACTOR 2: PERFORMANCE RISK (PAST AND PRESENT PERFORMANCE)

1. General Information:

a. The Government will evaluate the offeror's past performance to assess its level of confidence in the offeror's ability to successfully perform the requirements of this solicitation. The evaluation will be based on a three-step process: first assessing Recency, then Relevancy, and finally Quality of performance for a minimum of three (3) and a maximum of five (5) contract references.

b. Offerors that do not submit any past performance references, or whose references do not meet the recency criteria, will receive a "Neutral Confidence" rating in accordance with FAR 15.202(c)(1) and will not be evaluated favorably or unfavorably.

2. Recency and Relevancy Evaluation

The Government will first evaluate each submitted contract reference for recency. To be recent, some portion of the performance effort must have occurred within the last three years of this solicitation. For all recent

references, the Government will then assess their relevancy using the definitions in Table 1. This assessment will be based on information in the Past Performance Summary Sheets (Exhibit C) and from other sources (e.g., CPARS, submitted PPQs (Exhibit D)).

(Table 1) Past Performance Relevancy Ratings

Very Relevant	Present/past performance effort involved essentially the same scope and magnitude of effort and complexities this solicitation requires.
Relevant	Present/past performance effort involved similar scope and magnitude of effort and complexities this solicitation requires.
Somewhat Relevant	Present/past performance effort involved some of the scope and magnitude of effort and complexities this solicitation requires.
Not Relevant	Present/past performance effort involved little or none of the scope and magnitude of effort and complexities this solicitation requires.

3. Performance Confidence Assessment

(Table 2) Performance Confidence Assessment Ratings

Rating	Description
Substantial Confidence	Based on the offeror's recent/relevant past performance record, the Government has a high expectation that the offeror will successfully perform the required effort. This assessment may be based on a history of exceptional quality on relevant projects or a combination of very relevant projects with a consistent record of high-quality performance.
Satisfactory Confidence	Based on the offeror's recent/past performance record, the Government has a reasonable expectation that the offeror will successfully perform the required effort.
Neutral Confidence	No recent/relevant performance record is available, or the offeror's performance record is so sparse that no meaningful confidence assessment rating can be reasonably assigned. The offeror may not be evaluated favorably or unfavorably on the factor of past performance.
Limited Confidence	Based on the offeror's recent/relevant performance record, the Government has a low expectation that the offeror will successfully perform the required effort.
No Confidence	Based upon the offeror's recent/relevant performance record, the Government has no expectation that the offeror will be able to successfully perform the required effort.

a. For all references deemed recent and relevant (or higher), the Government will conduct a holistic tradeoff between performance quality and relevance to determine a final confidence assessment rating. While more relevant past performance is a strong indicator of future success, a record of exceptional quality on a somewhat relevant contract may be considered more advantageous than a record of merely satisfactory performance on a very relevant contract. The final confidence assessment will be based on this integrated assessment of both factors, resulting in a single rating as defined in Table 2.

b. Offerors may be asked to clarify certain aspects of their proposal (for example, the relevance of past performance information) or respond to adverse past performance information to which the Offeror has not

previously had an opportunity to respond. Adverse past performance is defined as past or present performance effort that is rated less than satisfactory overall or any unfavorable comments received from sources without a formal rating system.

c. In addition to the completion of Exhibit C, Past Performance Summary Sheet, the offeror shall provide documentation that corroborates the offeror's primary lab, and all subcontractor/teaming partner labs can meet/have met the volumes and turn-around times within their established turn-around times. This documentation will be considered as an indicator of performance quality and will be factored into the overall performance confidence assessment.

d. The Government reserves the right to ask offerors to clarify certain aspects of their proposal or respond to adverse past performance information.

G. VOLUME IV - FACTOR 3: SMALL BUSINESS SUBCONTRACTING PARTICIPATION PROPOSAL

No Page Limitations

As a prerequisite for award for other-than-small businesses, the Government will assess the submitted Small Business Subcontracting Plan for acceptability. This assessment is separate from the evaluation of the Small Business Participation Commitment Document.

The offeror's Small Business Participation Commitment Document will be evaluated on an "Acceptable" or "Unacceptable" basis. The Small Business Participation Commitment Document must demonstrate a comprehensive, realistic, and sound commitment to meeting the Government's socioeconomic objectives for this acquisition. To be rated Acceptable, the Small Business Participation Commitment Document must meet all the minimum goals outlined below. A proposal that fails to meet any of these minimum goals will be rated Unacceptable and will be ineligible for award.

1. Standard for Quantitative Participation (Acceptable/Unacceptable)

To be rated Acceptable, the offeror's proposal must meet or exceed the Government's stated goals for Total Small Business participation *and* for each individual socioeconomic subcategory listed below. If an offeror cannot meet one or more of these goals, they must provide a detailed explanation and verifiable documentation demonstrating a Good Faith Effort to maximize small business utilization. Proposals that fail to meet the goals and fail to adequately demonstrate a Good Faith Effort will be rated Unacceptable.

The Government's small business goals for this acquisition are:

- a. Total Small Business: 30%
- b. Small Disadvantaged Business (SDB): 5%.
- c. Woman-Owned Small Business (WOSB): 5%
- d. HUBZone Small Business: 3%
- e. Service-Disabled Veteran-Owned Small Business (SDVOSB): 3%

2. Standard for Qualitative Commitment (Acceptable/Unacceptable)

a. To receive an "Acceptable" rating, the offeror's document must provide a complete and credible demonstration of its commitment to the proposed participation levels. This requires providing the requested documentation and meeting all of the following standards for completeness and credibility:

(1) Required Documentation:

- (a) The Offeror must submit a Small Business Participation Commitment Document that clearly identifies specific small business partners.
- (b) The document must substantiate the proposed work for each small business partner with formal, bilateral documentation that is specific to this solicitation. This documentation must demonstrate mutual awareness and intent between the offeror and the small business partner for this procurement.

(2) **Completeness of Information:** The document must be complete and contain all information required by Parts 1 through 5 of the instructions at Addendum to FAR 52.212-1. This includes:

- (a) Part 1: Prime Offeror Identification.
- (b) Part 2: A Summary of Participation with all percentages and dollar values calculated.
- (c) Part 3: A complete Team Identification and Roles table for the prime and all proposed subcontractors.
- (d) Part 4: A Commitment Narrative with supporting documentation.
- (e) Part 5: Past Performance in Small Business Utilization.

(3) **Credibility of Commitment:** The Commitment Narrative (Part 4) and its supporting documentation must provide a credible basis for the Government to determine that the proposed participation is realistic. At a minimum, the narrative must describe the nature of commitments for proposed small business subcontractors. The credibility of these commitments will be assessed as follows:

(a) Acceptable forms of documentation include, but are not limited to:

- i. Legally Binding Documents: Executed teaming arrangements or subcontracts that define the scope of work for this solicitation. (This is the strongest form of evidence).
- ii. Bilateral Letters of Intent (LOIs) or Memoranda of Understanding (MOUs): Letters or memoranda signed by both the offeror and the named small business partner.

(b) Unacceptable” Rating Criteria: A proposal will receive an Unacceptable rating if it demonstrates a lack of a credible, verifiable commitment. Examples that will result in an “Unacceptable” rating include, but are not limited to:

- i. The proposal relies solely on verbal agreements or fails to provide any formal documentation to substantiate its plan.
- ii. The submitted documentation consists only of generic, non-specific marketing materials or letters of commitment that do not reference this solicitation or outline a clear scope of work.
- iii. The documentation is unilateral (i.e., not signed or acknowledged by the named small business partner), indicating a lack of mutual intent.
- iv. The offeror fails to submit the Small Business Participation Commitment Document as required

(4) **Credibility of Past Performance:** The Past Performance submission (Part 5) must be complete and relevant. The Government will review this information to verify a history of compliance with small business utilization requirements. A document may be rated Unacceptable if the offeror’s past performance demonstrates a lack of commitment or a history of failure to meet subcontracting plan goals on similar contracts, which would call into question the credibility of the current document.

b. A rating of “Unacceptable” for this factor will render the proposal ineligible for award

H. VOLUME V - FACTOR 4: PRICE PROPOSAL

1. The Government will evaluate the offeror's proposed price for fairness, reasonableness, and balance. A price is reasonable if, in its nature and amount, it does not exceed that which would be incurred by a prudent person in the conduct of competitive business.
2. The Government will also evaluate pricing for balance to determine if prices are excessively front-loaded/backloaded or if prices for certain items are disproportionately high or low. Unbalanced pricing may be the basis for finding a proposal unacceptable.
3. For evaluation purposes, the Government will calculate a Total Evaluated Price (TEP). The TEP will be calculated by first determining a Base Proposed Price, which is the sum of the offeror's proposed prices for the entire ten-year period (five-year base and five-year option) across CLINs 001, 0002, and 0003 (using the Government plug number for CLIN 0003). To evaluate the maximum potential cost to the Government, a five-percent (5%) escalation ceiling will then be added to this Base Proposed Price. This 5% addition accounts for the single, maximum aggregate increase allowable under the combined application of the Technical and Pricing Refresh (TPR) clause (which may occur at any time) and the Economic Price Adjustment (EPA) clause (which occurs only prior to the exercise of the option period). CLIN 0004 (Post Award Conference) is a pre-priced, Not-To-Exceed item and is excluded from the TEP.
4. The Government will also evaluate the Price Narrative to ensure the offeror's pricing reflects a clear understanding of the PWS requirements. While price is the least important evaluation factor, the TEP will be a contributing consideration in the Government's final best-value tradeoff decision. See Addendum to FAR 52.212-1, paragraph C "Basis of Award" for further clarification regarding the importance of price.

(End of Addendum)